

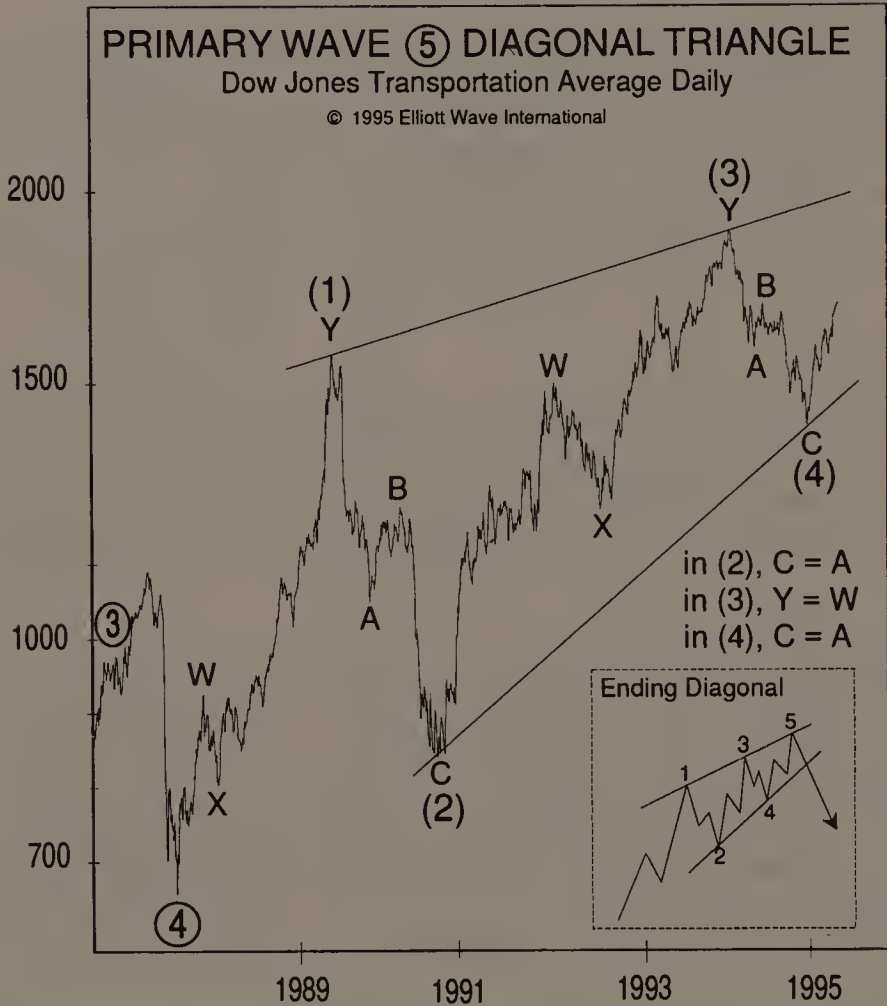


Figure 6-7

high by 21%, the Industrials by 34%. From that high, the DJTA has remained the weaker average, lagging while the Industrials have persisted in making new highs. This change is compatible with the case that the DJTA has been in an impulsive pattern that, as *Elliott Wave Principle* puts it, nevertheless has “corrective characteristics.”

This wave count puts the Industrials and Transports in the same position, i.e., within wave (5) of ⑤. The amazing conclusion is that despite the lowest dividend yield for any index in U.S. history at both the 1989 and 1994 highs, the DJTA is probably on its way to new high ground one more time. Diagonal triangles are always swiftly retraced, and this one will be the largest diagonal triangle